

Figure 41.2 Volume pattern of this head-and-shoulders top obeys the general characteristics: highest on formation of the left shoulder and weakest on the right shoulder. The down-sloping neckline suggests an especially weak situation.

Sensing weakness in the stock, you stop selling and monitor the situation closely. Other momentum and buy-the-dip players, believing that this is a chance to get in on the ground floor of a further advance, buy the stock on the retrace. The decline halts, and the stock begins rising again.

As it rises, additional momentum players make a bid for the stock or buy it outright. Once the stock gets above 10, you begin selling it again, not heavily at first because you have a large number of shares to dump. Still, the market players notice your selling, and the stock climbs just above 11 before heading back down. This buying and selling forms the head of a head-and-shoulders pattern on the chart.

You dump your remaining shares as the stock begins tumbling. Volume rises as other players sell their shares to unsuspecting buyers. The stock continues moving down and slides back below 10. Believing the stock oversold, demand picks up and sends the price moving up again for the last time, forming the right shoulder.

You watch the action from the sidelines, content with the profit you have made. The stock climbs to 10.75 on the right shoulder. Lacking support, the rise falters on weak volume and the stock turns down. Investors versed in technical analysis see the head-and-shoulders top for what it is: a bearish reversal. They quietly take their profits and sell the stock. Others initiate short sales by selling high and hoping price falls.

The stock moves down to the support level where it declined the last time. The stock pauses there for a week and makes a feeble effort to rise again. When the attempt falters, the stock moves down and pierces the neckline. Volume picks up, and the stock tumbles. Eventually, price declines back to where it began, just under 8.

Identification Guidelines

Are there certain guidelines that make identifying a head-and-shoulders top easy? Yes, and **Table 41.1** lists them. Remember that the identification